

D365 F&O License Usage: Monitoring, Optimization and License assignment - A guide for consultants battling Cost & Compliance

From September 1, 2025, users without assigned licenses will see warnings. From November 1, 2025, Microsoft will block access for unlicensed users. Users without valid license entitlements will be blocked from accessing F&O, even if they have security roles assigned.

This guide is designed for functional consultants, system admins and IT leads who are:

- Struggling with rising licensing costs
- Not yet compliant with license assignment requirements
- Unsure where to begin
- Looking to optimize security roles without compromising business functionality
- Trying to save on licensing cost

Organizations must act quickly to avoid access issues, audit risks and reduce licensing costs.

License types in Dynamics 365 F&O:

- Dynamics 365 Finance
- Dynamics 365 Supply Chain Management
- Dynamics 365 Commerce
- Dynamics 365 Project Operations
- Dynamics 365 Human Resources
- Operations - Activity
- Team Members

[Dynamics 365 Licensing Guide](#) August 2025 briefly explains activities allowed against license types.

Action items

In a nutshell, here is what you need to do to reduce unnecessary spend and stay compliant ahead of Microsoft's deadline.

- Monitor license consumption (Power Platform Admin Center or LCS)

- Review Licenses Usage Summary in F&O (security components)
- Optimize or Create License-efficient Roles
- Assign Licenses via Microsoft 365 Admin Center

Monitor License Consumption

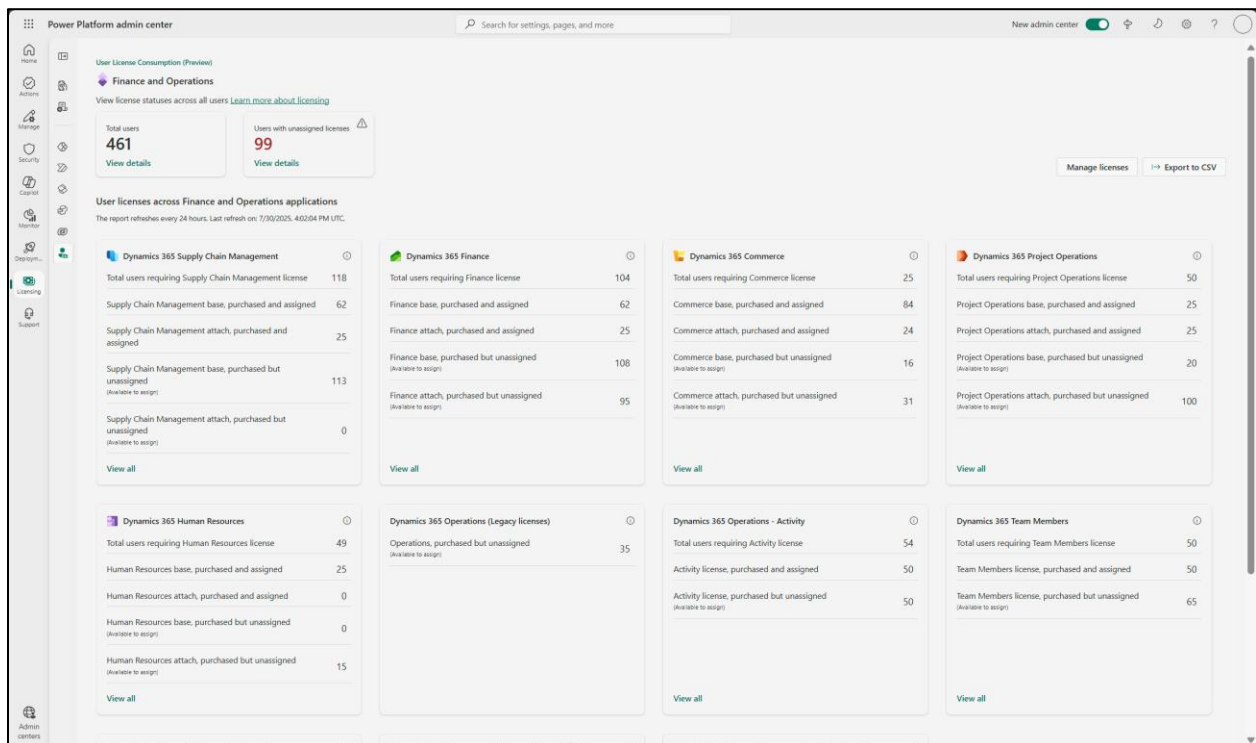
Microsoft provides visibility in Power Platform Admin Center and Lifecycle Services (LCS) for centralized tracking of number of Licenses being consumed.

Option 1:

- Sign in to Power Platform admin center.
- Select Licensing in the left menu.
- Select the Finance and Operations tab under User License Consumption

Option 2:

- Log into <https://lcs.dynamics.com>
- Select User License Consumption



Top-level metrics

Total users: All users across connected finance and operations environments.

Users with unassigned licenses: Users who are assigned roles that require a license but do not have a license assigned in in Microsoft 365 admin center.

Select metrics to view details for each user.

App level license summaries

Each Dynamics 365 finance and operations app shows a summary with:

- Total users requiring a license
- By product, base licenses purchased and assigned
- By product, attach licenses purchased and assigned
- By product, base licenses purchased but unassigned (available to assign)
- By product, attach licenses purchased but unassigned (available to assign)

Note: The report refreshes every 24 hours. Last updated timestamp appears at the top of the report.

Review License Usage Summary in F&O (security components)

License usages summary (preview) in D365 provides the Role wise, User's role wise, Duty wise, Privilege wise + License wise access Entitled or Not entitled to menu items/activities etc.

This is the most direct tool for understanding license exposure. If you get the proper understanding of this, you will be able to optimize your roles as per your requirement. Here is the detailed explanation with examples:

You need to identify entitled or not entitled activities/menu items with a security role and license combination. A component that is not entitled to a specific license may trigger the system to require a higher-tier license. By removing such a component from identified security role, you can potentially reduce the license requirement from a base or attach license to as low as an Activity or Team Members license.

In the example below, we will select a security role and modify it to remove the requirement for a Finance license for that role.

Go to System administration > Security > Security governance > Licenses usage summary (preview).

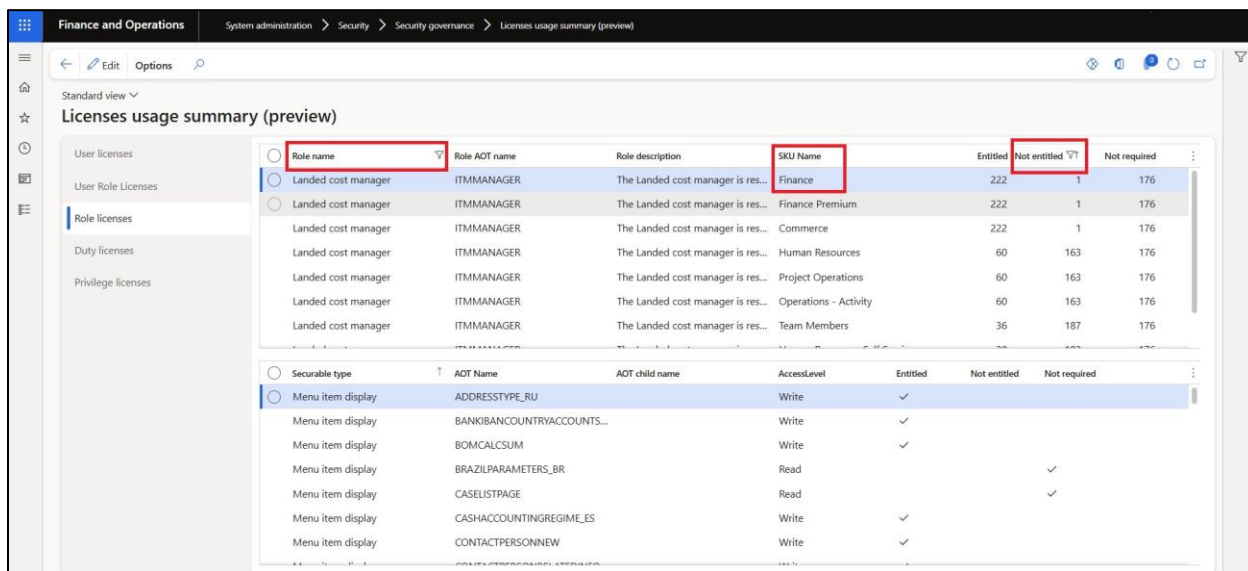
Click the Role licenses tab. In the Not entitled column, filter value of "0" using the not equal to filter.

Sort smallest to largest on Not entitled field to see which Roles have the least Not entitled menu items with a license.

Now, Select the Role you want to check as to which menu item in this Role is not entitled and is causing an undesired license to be consumed.

In our example, we have selected 'Landed cost manager' role which has a menu item which is not entitled in the 'Finance role'. So, if we remove that menu item from Landed cost manager role, the Finance license will not be consumed for Landed cost manager role.

Enter a filter value of 'Landed cost manager' on the Role name field. It will show only the 'Landed cost manager' Role with combination of all the license types. Now select the Row with 'Finance' License where there is a component which is not entitled.



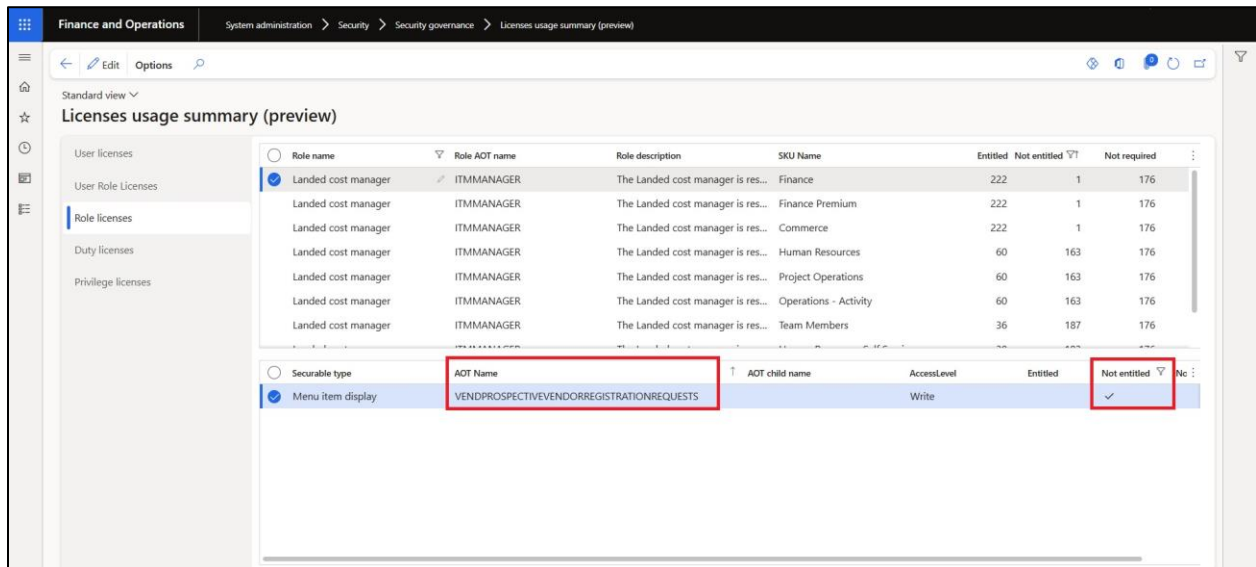
Role name	Role AOT name	Role description	SKU Name	Entitled	Not entitled	Not required
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Finance	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Finance Premium	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Commerce	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Human Resources	60	163	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Project Operations	60	163	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Operations - Activity	60	163	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Team Members	36	187	176

Securable type	AOT Name	AOT child name	AccessLevel	Entitled	Not entitled	Not required
Menu item display	ADDRESSTYPE_RU		Write	✓		
Menu item display	BANKIBANCOUNTRYACCOUNTS...		Write	✓		
Menu item display	BOMCALCSUM		Write	✓		
Menu item display	BRAZILPARAMETERS_BR		Read		✓	
Menu item display	CASELISTPAGE		Read		✓	
Menu item display	CASHACCOUNTINGREGIME_ES		Write	✓		
Menu item display	CONTACTPERSONNEW		Write	✓		

In the line details, apply filter on **Not entitled** column with filter value of '1'.

It will show the menu items which are not entitled and causing an undesired license to be consumed for 'Landed cost manager' Role.

Here it shows the ‘VENDPROSPECTIVEVENDORREGISTRATIONREQUESTS’ menu item is not entitled with Finance role. So, if we remove this menu item from the Role, ‘Landed cost manager’ Role will not consume Finance license.



Role name	Role AOT name	Role description	SKU Name	Entitled	Not entitled	Not required
☒ Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Finance	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Finance Premium	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Commerce	222	1	176
Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Human Resources	60	163	176
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Landed cost manager	ITMMANAGER	The Landed cost manager is res...	Team Members	36	187	176

Securable type	AOT Name	AOT child name	AccessLevel	Entitled	Not entitled	No
☒ Menu item display	VENDPROSPECTIVEVENDORREGISTRATIONREQUESTS		Write		☒	

Note: The selected Roles and menu items in this exercise are just for demonstration purposes.

Optimize or Create License-efficient Roles

Many organizations are over-licensed because of broad or inappropriate use of security roles both standard and custom roles. Even one unnecessary menu item can escalate a user to an expensive license.

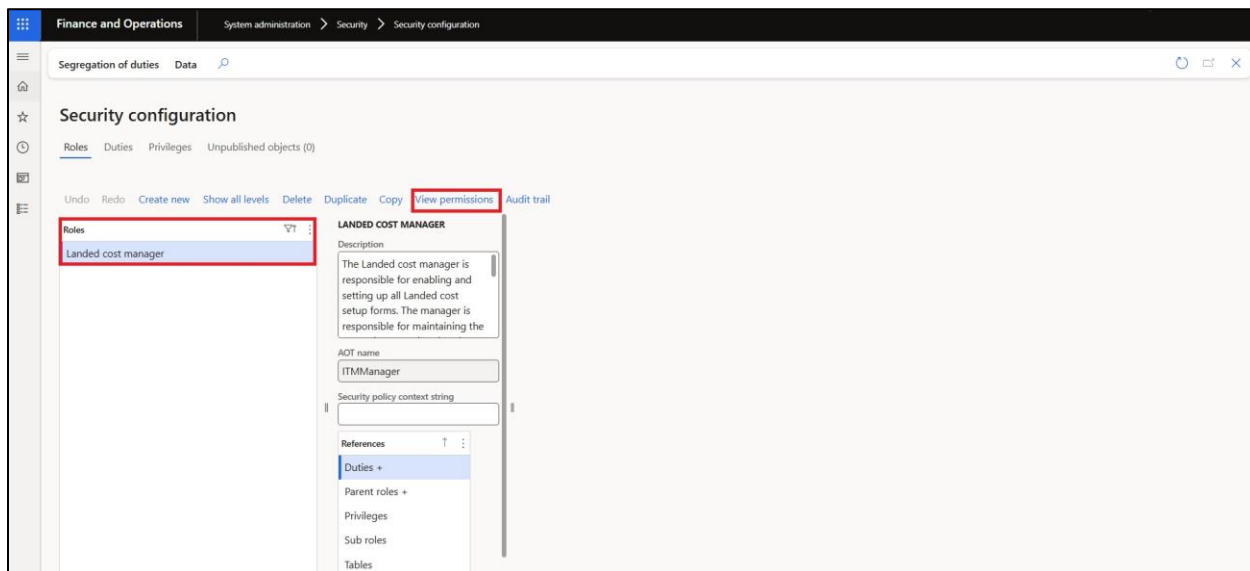
How to Create License-Optimized Roles

1. Navigate to System administration > Security configuration
2. Duplicate or create a new role
3. Add or keep only the required duties and privileges
4. Keep only the required menu items
5. Test in a non-production environment before going live

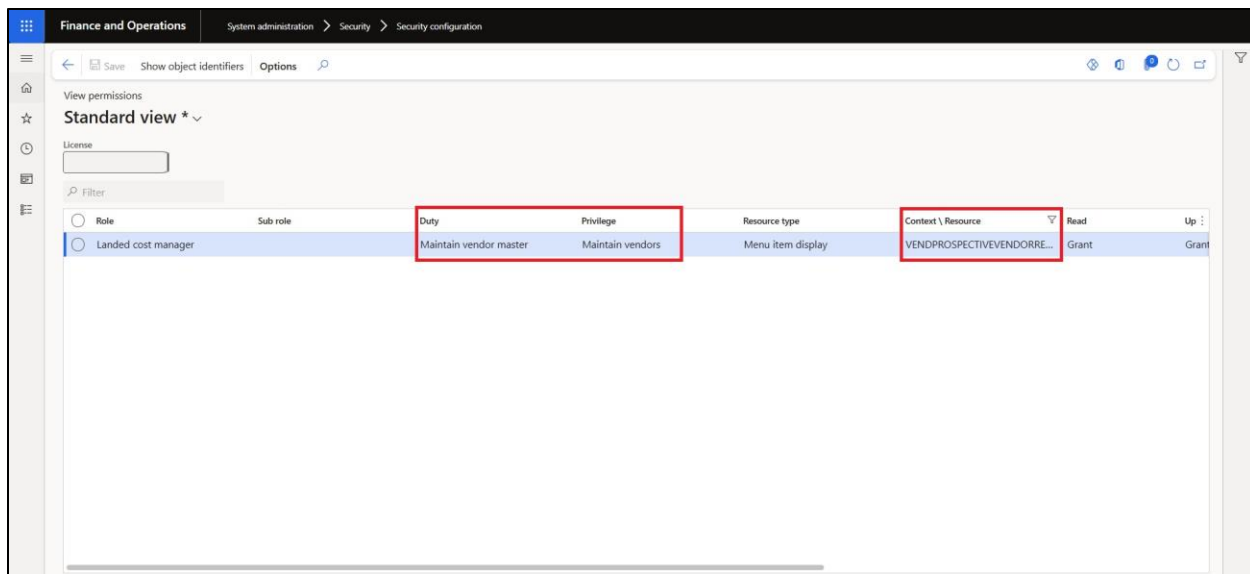
A well-designed custom role can reduce a Supply chain license to Activity or Team Member license in many cases.

In the above section, we have selected ‘Landed cost manager’ for optimization. On the Security configuration page, filter ‘Landed cost manager’ on the Roles.

Click View permissions and filter on Context \ Resource with filter value of 'VENDPROSPECTIVEVENDORREGISTRATIONREQUESTS' to see which Duty or Privilege it is part of.



Copy the Duty and Privilege and come back to the security configuration page.



Open the Duties and apply filter 'Maintain vendor master'.

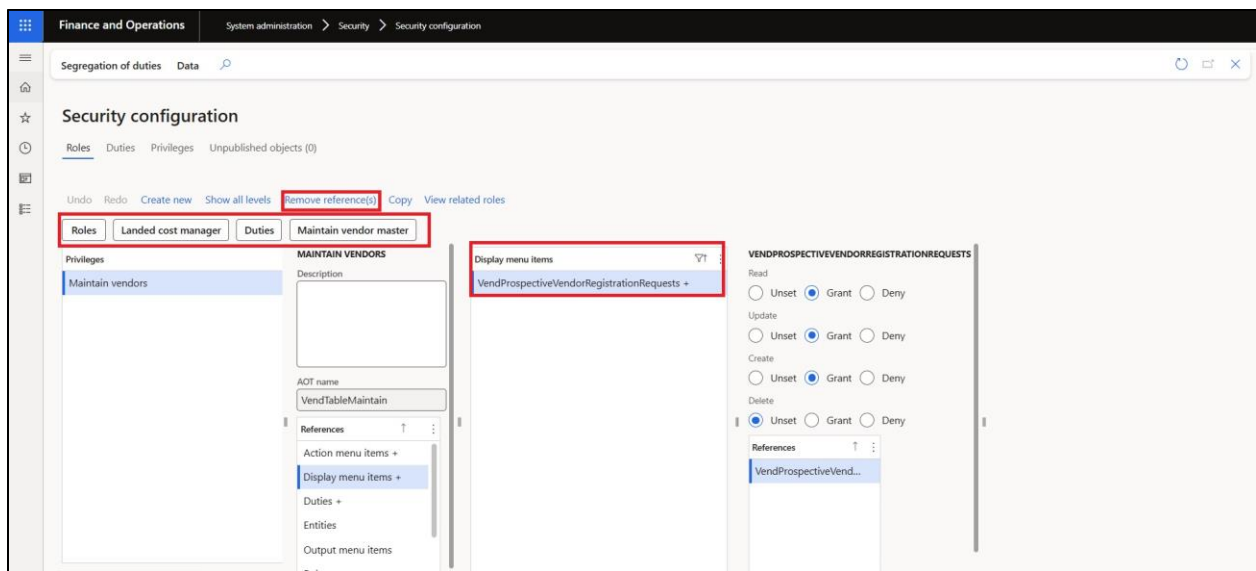
Now open Privileges and apply filter 'Maintain vendor' and select the Display menu items.

Apply filter with 'VENDPROSPECTIVEVENDORREGISTRATIONREQUESTS'.

Select the display menu item, click the 'Remove reference' button and publish the changes in the 'Unpublished objects' tab.

Once the changes are published, the Landed cost manager role will no longer require a Finance license and will be assigned only an SCM license. This means that instead of needing both a base and an attach license, the role will now require only the SCM license.

You can apply the same approach to other security roles, potentially reducing their license requirement from a base license to as low as an Activity or Team Members license.



Disclaimer: The Duty and Privilege could be required by other Roles. So, it is better to duplicate the Duty and Privilege, remove the undesired menu items from the new Duty and Privilege instead of modifying the existing ones.

Assign licenses via Microsoft 365 Admin Center

License assignment is done through the Admin Center not directly within F&O.

Steps:

- Go to Microsoft 365 admin center
- In the admin center, go to the Users > Active users page.
- Select the user you want to assign a license to.
- In the right pane, select Licenses and Apps.
- Expand the Licenses section, select the boxes to Assign the appropriate license (Finance, SCM, Project Ops, etc.) and Save changes.

Note: You must have D365 Admin role assigned to your user on Azure to view and assign the Licenses to D365 F&O users.

Final Thoughts

If you have not already prepared for Microsoft's upcoming enforcement, now is the time. Waiting until November will increase your risk of operational disruptions, license audits and unnecessary costs.

This is not just about compliance. It's about reducing costs, ensuring operational continuity and improving governance.